

Q 1. Which of the following is evidence of an insurance contract?

- ☐ Insurance Policy
- ☐ Claim Statement
- ☐ Condition Clause
- ☐ Insurance Terms Document
- ☐ Warranty Document

☒ UnAttempted

CORRECT ANSWER:

Insurance Policy

Explanation:

The insurance policy is the evidence of the contract and states the terms and conditions of the contract, details of promises made by the insurer, obligations of the policyholder and conditions attached thereto.

Q 2. In context of marine insurance, what is the difference between specific policies and open policies?

- ☐ An open policy allows for an increase in the value of goods due to market fluctuations at the destination. On the other hand, a specific policy is a contract for a defined period (usually 12 months) and covers shipments as they occur. The consignments must be reported to the insurer within a specified time frame by declaration.
- ☐ An open policy is issued to cover a single consignment for a single transit; whereas a specific policy is contract for a specific period of time, usually 12 months and covers shipments as they are made, when the consignments are reported to the insurer, within a specified period of time by declaration.
- ☐ A specific policy covers a single consignment for a single transit. Conversely, an open policy provides for an increase in the value of goods due to market fluctuations at the destination.
- ☐ A specific policy covers a single consignment for a single transit. An open policy, however, is a contract for a specific period (usually 12 months) and covers shipments as they are made when the consignment is reported to the insurer, within a specific period of time by declarations
- ☐ An open policy is issued to cover a single consignment for a single transit. In contrast, a specific policy provides for an increase in the value of goods due to market fluctuations at the destination.

☒ UnAttempted

CORRECT ANSWER:

A specific policy covers a single consignment for a single transit. An open policy, however, is a contract for a specific period (usually 12 months) and covers shipments as they are made when the consignment is reported to the insurer, within a specific period of time by declarations

Explanation:

- A Specific Policy is issued to cover a single consignment for a single transit.
- Open policy is a contract for a specific period of time, usually twelve months, and covers shipments as they are made when the consignments are reported to the insurer within a specified period of time by declarations. Terms are agreed and the final premium is settled at specified intervals based on declarations of quantities and other details of the shipment, every time a shipment is made.

Q 3. What is the objective behind creating an Insurance Repository?

- ☐ To offer a Cash-less Treatment Facility using Third-Party Administrators' (T.P.A.s) Hospital Networks, rather than building a network from scratch.
- ☐ To undertake Survey and Loss-Assessment work by leveraging Licensed Surveyors and Loss-Assessors.
- ☐ To facilitate the Insurance Business from across the country, allowing the establishment of offices and recruitment of Insurance Sales Persons based in the District of Registration.
- ☐ To provide policyholders with an electronic facility to keep their insurance policies and efficiently manage changes, modifications and revisions with speed and accuracy.
- ☐ To handle the Back-Office Activities of insurers, as permitted by guidelines for outsourcing activities by insurance companies.

☒ UnAttempted

CORRECT ANSWER:

To provide policyholders with an electronic facility to keep their insurance policies and efficiently manage changes, modifications and revisions with speed and accuracy.

Explanation:

The objective behind creating an Insurance Repository is to provide policyholders with a facility to keep insurance policies in electronic form and to undertake changes, modifications, and revisions in the insurance policy with speed and accuracy.

Q 4. Identify from the following, the option that correctly defines the average mind-set of person receiving the death claim.

- ☐ A person who feels in- different
- ☐ A person who regrets that he or she did not put his or her money to better use.
- ☐ A person who doubts the wisdom of his or her choice of buying the policy
- ☐ A person who wished he or she had spent the premium- money on other things that would provide more immediate enjoyment
- ☐ A person who is feeling relieved from an anxiety, knowing he or she is receiving the money.

☒ UnAttempted

CORRECT ANSWER:

A person who is feeling relieved from an anxiety, knowing he or she is receiving the money.

Explanation:

In the case of life insurance, the customer who buys the policy may not be the same customer who is making a claim on the policy. The real value of life insurance is experienced at the time of claim.

The person who receives the death claim is the person who while dealing with the death of a loved one will also be feeling relieved from anxiety, knowing they are receiving money (perhaps wishing it was more) and also will be grateful for the help received.

Q 5. Identify from the following, the statement which is correct with respect to Valued-Policies.

- ☐ Valued Policies are also known as Floater-Policies
- ☐ Valued-Policies are also known as First-Loss Policies
- ☐ Valued Policies are also known as Full-Value Policies
- ☐ Valued Policies are also known as Declaration-Policies
- ☐ Valued Policies are also known as Admitted-Value Policies

☒ UnAttempted

CORRECT ANSWER:

Valued Policies are also known as Admitted-Value Policies

Explanation:

Valued policies are also called agreed value or admitted value policies, where the insurer agrees to pay a certain amount in the event of a total loss without taking into account allowances for depreciation or appreciation.

This is not relevant for partial losses.

Q 6. _____ is not a catastrophic risk.

- ☐ Job loss
- ☐ Cyclone
- ☐ Flood
- ☐ Tsunami
- ☐ Earthquake

☒ UnAttempted

CORRECT ANSWER:

Job loss

Explanation:

Critical or catastrophic risks are risks where a single event of major magnitude leads to a significantly higher than usual number and/or amount of claims on an insurer.

Catastrophic risks are big enough to cause bankruptcy of the owner or even the insurer.

Q 7. Identify the correct statement, by studying the given options with respect to application of indemnity in the case of marine hull insurance.

- ☐ In case the ship is completely damaged insured's declared value (I.D.V.) is paid after adding the value of salvage
- ☐ Accepted value policies are issued where the claim amount is insured's proposed value of the hull
- ☐ Agreed value policies are issued where the claim amount is the insured's declared value of the ship
- ☐ Agreed value policies are issued where fair value of ships irrespective of their age is fixed between the insurance company and the insured
- ☐ Agreed value policies issued where the declared value represents to the manufacturer's production price of the ship

☒ UnAttempted

CORRECT ANSWER:

Agreed value policies are issued where fair value of ships irrespective of their age is fixed between the insurance company and the insured

Explanation:

In case of marine hull insurance, agreed value policies are issued. Fair value of ships, irrespective of their age, is fixed between the insurance company and the insured.

Q 8. Rahul single-handedly manages various departments and handles all the day to day activities of Rosewood Ltd. He is the _____ of Rosewood.

- ☐ Active partner
- ☐ Sleeping partner
- ☐ Keyman
- ☐ Dormant partner
- ☐ Insurance agent

☒ UnAttempted

CORRECT ANSWER:

Keyman

Explanation:

A company has insurable interest in the life of certain important people whose absence can affect the company adversely.

These people are key people and the company can take Keyman Insurance on the lives of these people.

Q 9. "Sometimes insurers pay a claim, even if the claim is not payable, under the terms of the policy called ex-gratia payments." Evaluate the above statement and state whether it is true or false.

- ☐ False: Insurers never pay a claim, when the claim is not payable, under the terms of the policy
- ☐ False: Sometimes insurers pay a claim, even if the claim is not payable, under the terms of the policy called non-gratia payments
- ☐ True: Sometimes, insurers pay a claim even if the claim is not payable under the terms of the policy called ex-gratia payments
- ☐ False: Sometimes insurers pay a claim, even if the claim is not payable, under the terms of the policy called gratia payments
- ☐ False: Sometimes, insurance pay a claim, even if the claim is not payable, under the terms of the policy called charity payments

☒ UnAttempted

CORRECT ANSWER:

True: Sometimes, insurers pay a claim even if the claim is not payable under the terms of the policy called ex-gratia payments

Explanation:

Sometimes insurers pay a claim even if the claim is not payable under the terms of the policy. These payments are called ex-gratia payments.

This is usually done if the conditions of insurance have been substantially met even though there has been a minor irregularity.

Q 10. According to the duty of an insurance agent, he/she should sell insurance policies as per the needs of _____.

- ☐ Economy
- ☐ Prospective customers
- ☐ Life Insurance Corporation (L.I.C.)
- ☐ Government
- ☐ General Insurance Corporation (G.I.C.) of India

☒ UnAttempted

CORRECT ANSWER:

Prospective customers

Explanation:

Duty of the insurance agent is that, the agent should sell insurance policies as per the needs of the prospective customers and look after their interests till the claims are settled.

For some agents, insurance business is a full-time activity while for others; it is a part-time activity that they pursue in addition to other activities.

Q 11. Identify from the following, the correct option which is NOT considered a point-of-sale person in the context of insurance sales.

- ☐ Insurance salespersons of an insurance marketing firm
- ☐ Broker-trained individuals for soliciting and marketing the insurance policies
- ☐ Rural authorized persons of Common Service Centre - Special Purpose Vehicle
- ☐ Authorised persons of web aggregators who can solicit and market all types of insurance policies
- ☐ All the above-mentioned persons are point of sale persons

☒ UnAttempted

CORRECT ANSWER:

All the above-mentioned persons are point of sale persons

Explanation:

There shall be two types of persons who shall solicit and market insurance policies namely:

- Insurance agent or specified persons of corporate agent or broker trained persons for soliciting and marketing insurance policies or insurance sales persons of Insurance Marketing Firm or rural authorised persons of CSC-SPV or authorised person of web aggregators who can solicit and market all types of insurance policies.
- "Point of Sales Person" who can solicit and market only certain pre-underwritten products approved by the Authority.

Q 12. How Do Insurance Companies arrive at the Premium to be Charged?

- ☐ Insurance companies arrive at the premium to be charged based on their hunch
- ☐ Insurance companies arrive at the premium to be charged based on their budget
- ☐ Insurance companies arrive at the premium to be charged based on their future projections
- ☐ Insurance companies arrive at the premium to be charged based on their present experience
- ☐ Insurance companies arrive at the premium to be charged based on their past experience

☒ UnAttempted

CORRECT ANSWER:

Insurance companies arrive at the premium to be charged based on their past experience

Explanation:

Insurance companies arrive at the premium to be charged based on their past experience. The probability of risk will depend partly on how frequently the peril may occur and how severe its impact can be. How frequently perils like earthquakes or storms may occur are not in anyone's control.

But the extent of the damage will depend on the quality of construction of buildings, prior warning systems and evacuation, quality of communication, how soon the local authorities take up relief work etc. As and when changes happen in such factors, the probabilities will change. The insurers take these factors into consideration in arriving at the premiums.

Q 13. Complete the following statement with correct option: Treaties may specify that re-insurance would be a certain proportion of the risk _____.

- ☐ Calculated by the Insurance Company
- ☐ Estimated by the Insurance Company
- ☐ Rewritten by the Insurance Company
- ☐ Headed by the Insurance Company
- ☐ Underwritten by the Insurance Company

☒ UnAttempted

CORRECT ANSWER:

Underwritten by the Insurance Company

Explanation:

Reinsurance is not a simple business; it is complex and can be arranged in numerous ways.

Treaties may specify that reinsurance would be a certain proportion of the risk underwritten by the insurance company.

Q 14. Probable Maximum Loss is calculated as:

- ☐ Maximum Possible Loss x Number of Perils Striking
- ☐ Maximum Possible Loss - Number of Perils Striking
- ☐ Maximum Possible Loss x Probability of Peril Striking
- ☐ Maximum Possible Gain - Probability of Peril Striking
- ☐ Maximum possible Gain x Probability of Peril Striking

☒ UnAttempted

CORRECT ANSWER:

Maximum Possible Loss x Probability of Peril Striking

Explanation:

The total loss that can happen is referred to as the Maximum Possible Loss (MPL). The risk exposure is the MPL multiplied by the probability of the peril striking. This is called the Probable Maximum Loss (PML).

$MPL \times \text{Probability of Peril Striking} = \text{Probable Maximum Loss (PML)}$

Both these measures are necessary to understand risk.

Q 15. The principle of contribution ensures that _____.

- ☐ The third-party responsible for the accident is not absolved of his or her financial responsibility
- ☐ The insurance company does not suffer due to negligence mistake or irresponsible behaviour of some third party
- ☐ An insured surrenders his rights against the third party to an insurance company that has paid claim
- ☐ The losses that are fortuitous and not certain are reimbursed by the insurer and the insured does not get compensated more than once.
- ☐ If there is more than one insurance policy drawn up on the same subject matter, the insured cannot recover his or her loss from all the insurers, in which case they will recover more than their loss or even make a profit.

☒ UnAttempted

CORRECT ANSWER:

If there is more than one insurance policy drawn up on the same subject matter, the insured cannot recover his or her loss from all the insurers, in which case they will recover more than their loss or even make a profit.

Explanation:

The principle of contribution ensures that if there is more than one insurance policy drawn up on the same subject matter, the insured cannot recover their loss from all the insurers, in which case they will recover more than their loss, or even make a profit.

Q 16. Which of the following statements is NOT correct with respect to an insurance council?

- ☐ Insurance councils are constituted under the Insurance act 1938
- ☐ All insurers transacting life assurance business are members of the Life Insurance Council
- ☐ The council issue licenses to insurers, as well as to intermediaries like agents, brokers third- party administrators
- ☐ The councils are envisaged as self-regulatory mechanism for the insurance industry.
- ☐ All insurers transacting general insurance business are members of the General Insurance Council

☒ UnAttempted

CORRECT ANSWER:

The council issue licenses to insurers, as well as to intermediaries like agents, brokers third- party administrators

Explanation:

Insurance Councils

- Insurance Councils are constituted under the Insurance Act.
- All insurers transacting life insurance business are members of the Life Insurance Council and all insurers transacting general insurance business are members of the General Insurance Council.
- Both these councils are envisaged as self-regulatory mechanisms for the insurance industry.

Q 17. Identify the type of insurance available, to cover emergency medical situations or accidents that can occur due to movement of human across the world.

- ☐ International Insurance
- ☐ Globe Insurance
- ☐ World Insurance
- ☐ Earth Insurance
- ☐ Overseas Medical Insurance

☒ UnAttempted

CORRECT ANSWER:

Overseas Medical Insurance

Explanation:

Overseas Medical Insurance: This policy covers medical expenses incurred while travelling abroad. Hospital bills are paid by the insurer's representatives directly.

The policy also covers loss of baggage or passport during overseas travel. This policy is meant for Indian residents travelling abroad for specified purposes like business, studies, holiday or employment.

Q 18. Which statement accurately reflects the functions of the Insurance Regulatory and Development Authority of India (I.R.D.A.)'s Grievance Redressal Mechanism?

- ☐ To efficiently and impartially resolve complaints arising from disputes between policyholders and insurers.
- ☐ To create an environment where insured individuals can access proper procedures and redressal mechanisms established by insurers.
- ☐ To provide premium statistics and claims statistics to the bureau, ensuring swift resolution of grievances faced by insured customers and to Mitigate their Problems, Involved in Redressal of Grievances
- ☐ To offer key inputs to the government for policy-making and provide a range of insurance-related services to various stakeholders, including public police transport departments.
- ☐ To support the insurance industry with sector-level data, facilitating data-based and scientific decision-making, including pricing and business strategy formulation.

☒ UnAttempted

CORRECT ANSWER:

To efficiently and impartially resolve complaints arising from disputes between policyholders and insurers.

Explanation:

IRDA grievance redressal mechanism

Insurance Regulatory and Development Authority (IRDA) has established Consumer Affairs Department to oversee compliance of insurers and protection of interests of policyholders and also to empower consumers by educating them on grievance redressal mechanisms.

The department facilitates an environment where the insured avails himself / herself of proper procedures and redressal mechanisms put in place by insurers and the regulations to address complaints and grievances of policyholders efficiently and with speed.

Under the grievance redressal mechanism, the insured can approach the IRDA through phone or email against the insurance company for any grievance redressal.

Q 19. Complete the following statement: Export Credit and Guarantee Insurance Company Limited is a specialised insurer for _____.

- ☐ Export regulation amendments
- ☐ Risks related to insurance guarantee
- ☐ Risks related to export credit
- ☐ Overseas regulation amendments
- ☐ Making laws relating to export insurance

☒ UnAttempted

CORRECT ANSWER:

Risks related to export credit

Explanation:

The Export Credit and Guarantee Insurance Company Limited is a specialised insurer for risks related to export credit.

Q 20. What is the definition of Sum Assured?

- ☐ Sum assured is an application in writing made by the insurer
- ☐ Sum assured is the value of the subject matter of insurance and becomes the basis for the payments made by the insurer in the event of a claim.
- ☐ Sum assured is a contractual process wherein a person protects their physical assets as well as life from certain events or perils by transferring the Risk
- ☐ Sum assured is an application in writing made by the person who wants to take insurance
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Sum assured is the value of the subject matter of insurance and becomes the basis for the payments made by the insurer in the event of a claim.

Explanation:

The sum assured is the value of the subject matter of insurance and becomes the basis for payments made by the insurer in the event of a claim.

The sum assured is the maximum amount of the insurer's liability under the policy.

Q 21. The benefits of insurance often come in a period of _____.

- ☐ distress
- ☐ pollution
- ☐ education
- ☐ happiness
- ☐ weddings

☒ UnAttempted

CORRECT ANSWER:

distress

Explanation:

In most cases, the customer needs to wait for some time, before the benefit of the insurance purchase can be experienced. During this time, customers may doubt the wisdom of their insurance purchase.

The benefits of insurance often come in a period of distress for a customer and they may wish that the benefit they receive from insurance may not be necessary.

Q 22. What is the difference between insurance agents and insurance brokers?

- ☐ Brokers are persons appointed by insurance companies through whom insurance is largely sold, whereas an agent is an individual, a company, a society, or a firm, wholly engaged in sourcing insurance business for various insurance companies
- ☐ Agents are persons appointed by insurance companies through whom insurance is largely sold, whereas a broker is an individual, a company, a society, or a firm, wholly engaged in sourcing insurance business for various insurance companies
- ☐ Agents are persons appointed by insurance buyers through whom insurance is largely sold, whereas a broker is an individual, a company, a society, or a firm, wholly engaged in sourcing insurance business for various insurance companies
- ☐ Brokers persons who collect the information about the insurance policies of various insurance companies, from data-base, such as, insurance company web-sites and compile this data and provide it in a presentable way to any potential insurance policy buyers on a website whereas agents are persons appointed by insurance companies through whom insurance is largely sold
- ☐ Agents are persons who collect the information about insurance policies of various insurance companies from data bases, such as insurance company websites and compile this data and provide it in a presentable way to any potential insurance policy buyers on a website whereas agents are persons appointed by insurance companies through whom insurance is largely sold

☒ UnAttempted

CORRECT ANSWER:

Agents are persons appointed by insurance companies through whom insurance is largely sold, whereas a broker is an individual, a company, a society, or a firm, wholly engaged in sourcing insurance business for various insurance companies

Explanation:

Agents: Insurance is largely sold through agents, who are appointed by insurance companies.

Brokers: A insurance broker is an individual, a company, a society or a firm, wholly engaged in sourcing insurance business for various insurance companies.

Q 23. The insurance industry works on which concept?

- ☐ Polling
- ☐ Pooling
- ☐ Advertising
- ☐ Marketing
- ☐ Human Resources

☒ UnAttempted

CORRECT ANSWER:

Pooling

Explanation:

The insurance industry works on the concept of pooling. People who are exposed to similar risks are brought together. The members in the group agree that, if any one of them suffers a loss, the other group members will share the loss and compensate the person who suffered the loss.

The compensation is expected to put the person in the same place, financially as he was before suffering the loss.

Q 24. The basic cover under fire insurance may be extended to cover _____.

- ☐ Loss of Rent
- ☐ Start-up expenses
- ☐ Leakage and contamination
- ☐ Deterioration of stocks in refrigerated ware-houses, due to power failure
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

All of the above

Explanation:

Fire insurance policies provide cover for financial losses due to damage to property arising out of fire, explosions etc. Fire policies may also cover damage through impact of vehicles, riots, typhoons, cyclones, strike or other malicious acts etc.

The basic cover may be extended to cover things like:

- professional fees for architect and consulting engineer
- deterioration of stocks in refrigerated warehouses due to power failure
- leakage and contamination
- loss of rent
- start-up expenses

Q 25. What is it known as, when the re-insurer has the right to decide, whether they should accept the risk or not.

- ☐ Ceding
- ☐ Quota share
- ☐ Retrocession
- ☐ Surplus reinsurance
- ☐ Facultative re-Insurance

☒ UnAttempted

CORRECT ANSWER:

Facultative re-Insurance

Explanation:

Facultative reinsurance is when the reinsurer has the right to decide whether they should accept the risk or not. In other words, the reinsurer negotiates with each risk, whether to take it on or not.

This may happen in treaty cases also, where risk is not within the terms of the treaty.

Q 26. Identify the reason as to why a life-assurance policy-holder may feel conflicted about his or her decision to buy a particular policy of a particular company.

- ☐ In a long period of time that a life assurance policy run for, other people give their opinions on the policies. Therefore, it is possible for the policy-holders to feel conflicted about his or her decision
- ☐ Insurance Act makes frequent changes to the laws and regulations, relating to insurance and so, it is possible for the policy -holder to feel-conflicted about his or her decision
- ☐ A Life Assurance policy holder may feel conflicted about his or her decision to buy a particular policy of a particular company, because of adequacy of sufficient and certified information in the market
- ☐ Insurance Council makes the frequent changes to the laws and regulations, relating to insurance and so, it is possible for the policy-holder to feel-conflicted about his or her decision
- ☐ Insurance Regulatory and Development Authority of India (I.R.D.A.I) makes the frequent changes to the laws and regulations, relating to insurance, and so it is possible for the policy-holder to feel-conflicted about his or her decision

☒ UnAttempted

CORRECT ANSWER:

In a long period of time that a life assurance policy run for, other people give their opinions on the policies. Therefore, it is possible for the policy-holders to feel conflicted about his or her decision

Explanation:

With other people giving their opinions, it is possible for the policyholder to feel conflicted about his decision. Servicing activities help to reduce this inner conflict of the policyholder.

Q 27. Identify from the following, which is NOT a duty of a web-aggregator towards the insurer, who has signed as agreement with the web aggregators.

- ☐ Assess the claim and loss relating to the insured asset
- ☐ Display the information, pertaining to the insurers
- ☐ Carry out the activities for the purpose of lead generation for the insurer
- ☐ Collection and transfer of premium to the insurer when so authorized by the insurers with only Reserve Bank of India licensed payment gateways
- ☐ Transmission of leads and other data to the insurers using secured layer data encryption technologies like 128-bit encryption

☒ UnAttempted

CORRECT ANSWER:

Assess the claim and loss relating to the insured asset

Explanation:

The assessment of claims and losses is typically carried out by the insurer, not the web aggregator.

Q 28. What is the concept of being ethical in business?

- ☐ It means doing the right thing, such as, not lying or stealing, but being honest
- ☐ It means providing comfort and support to help ensure that publicity is positive
- ☐ It means understanding the importance of being customer-centric
- ☐ It means being technically correct and trained in customer-service or customer orientation
- ☐ It means making sure that, the customer is not attracted to another insurance company

☒ UnAttempted

CORRECT ANSWER:

It means doing the right thing, such as, not lying or stealing, but being honest

Explanation:

Being ethical in business is about doing the right thing, such as not lying or stealing, but being honest.

A lot of attention is focussed on ethics in today's business world as there have been numerous reports of unethical behaviour and practices in companies.

Q 29. Full form of MLM is _____.

- ☐ Multi-Level Marketing
- ☐ Maximum Level Marketing
- ☐ Multi-Level Monitoring
- ☐ Minimum level Marketing
- ☐ Maximum Level Monitoring

☒ UnAttempted

CORRECT ANSWER:

Multi-Level Marketing

Explanation:

Multi-level Marketing (MLM) or network marketing, is individuals selling products to the public - often by word of mouth and direct sales.

Q 30. Insurers invest in Indian Companies by _____.

- ☐ giving out the additional claim-money
- ☐ offering the lower premium to the companies
- ☐ giving them the loans and subscribing to their shares
- ☐ investing in government approved infrastructure
- ☐ investing in government approved corporate-responsibility initiatives

☒ UnAttempted

CORRECT ANSWER:

giving them the loans and subscribing to their shares

Explanation:

Insurers also invest in Indian companies, by giving them loans and subscribing to their shares. There are strict limits placed on Insurers by law and regulation limiting the amount, they can invest in any one company.

Share of insurers in the capital of companies, both equity and debt together, would not be 20% or more.

Q 31. What is the definition of an insurer?

- ☐ The person, who applies for insurance-protection
- ☐ An amount of money or consideration that has to be paid in exchange for cover
- ☐ A person qualified in the technicalities of insurance with an understanding of statistics, economics, finance, and investments
- ☐ A company who provides protection, by entering into a contract with the person seeking protection for their assets
- ☐ A contractual process wherein a person protects their physical assets as well as life from certain events or perils, by transferring the risk to an insurer

☒ UnAttempted

CORRECT ANSWER:

A company who provides protection, by entering into a contract with the person seeking protection for their assets

Explanation:

An insurance company (referred to usually as the insurer) promises to pay to the owner (insured) or beneficiary of the asset, a certain sum of money (sum assured), if a loss occurs, so that they may try to ensure continuance of the financial benefits.

The insured pays a certain amount (consideration) to the insurance company for bearing the risk, which is known as premium.

Q 32. In the view of transfer of insurance contracts, identify if the following statement is correct: "The personal contracts that are transferred through Novation are virtually new contracts."

- ☐ True, the personal contracts transferred through novation are virtually new contracts
- ☐ False, the personal contracts transferred through innovation are the same old contracts
- ☐ False, the personal contracts transferred through innovation are virtually new contracts
- ☐ False, the personal contracts transferred through novation are the same old contracts
- ☐ False, the professional contracts transferred through novation are virtually new contracts.

☒ UnAttempted

CORRECT ANSWER:

True, the personal contracts transferred through novation are virtually new contracts

Explanation:

Fire, personal accident, motor and householder's policies are personal contracts. In these contracts the insurance company implicitly expresses confidence in the policyholder's integrity and ability to take proper care of the subject matter of insurance.

Personal contracts can be transferred to another person with the consent of the insurance company. If the insurer agrees to the transfer, the contract will be virtually a new one. This alteration is termed as novation.

- Q 33. Explain the concept of mis-selling.
- ☐ Mis-selling is not being customer centric and customer oriented
 - ☐ It is doing the right thing such as not lying or stealing, but being honest
 - ☐ It is not doing the right thing, such as, not lying or stealing, but being honest
 - ☐ Mis-selling is when correct information is given to potential policy-holders, is an attempt to get them to buy insurance
 - ☐ Mis-selling is when incorrect information is given to potential policy holders in an attempt to get them to buy insurance

☒ UnAttempted

CORRECT ANSWER:

Mis-selling is when incorrect information is given to potential policy holders in an attempt to get them to buy insurance

Explanation:

The business of insurance is based on trust. Policyholders entrust their savings to an insurer, trusting it to look after these funds and to look after their interests and those of their dependants in later years.

In general insurance, policyholders trust that in the event of a claim, the insurer will keep up their promise of compensation. Propriety and ethical issues are important in insurance. These issues relate to trust and a breach of trust amounts to cheating.

Things go wrong when incorrect information is given to potential policyholders in an attempt to get them to buy insurance. This is also known as mis-selling.

- Q 34. Fill in the blanks with correct option: The Sum-Assured is the _____ amount of the insurer's liability under the policy.
- ☐ Half quarter
 - ☐ One quarter
 - ☐ Minimum
 - ☐ Maximum
 - ☐ Three quarters

☒ UnAttempted

CORRECT ANSWER:

Maximum

Explanation:

The sum assured is the value of the subject matter of insurance and becomes the basis for payments made by the insurer in the event of a claim.

The sum assured is the maximum amount of the insurer's liability under the policy.

- Q 35. Under which of the following circumstances, a fact is said to be material to the assessment of risk?
- ☐ A fact is said to be material if it does not affect the decision of the underwriter to accept or reject the risk, or to determine the rates, terms and conditions if the risk is accepted
 - ☐ A fact is said to be material if the third-party, responsible for the accident is not absolved of his or her financial responsibility
 - ☐ A fact is said to be material, if it affects to the decision of the underwriter to accept or reject the risk or to determine the rates, terms and conditions if the risk is accepted
 - ☐ A fact is said to be material if it does not involve more than one insurance policies drawn up on the same subject-matter and the insured cannot recover his or her loss from all the insurers
 - ☐ A fact is said to be material, if involves more than one insurance policies drawn up on the same subject-matter and the insured cannot recover his or her loss from all the insurers

☒ UnAttempted

CORRECT ANSWER:

A fact is said to be material, if it affects to the decision of the underwriter to accept or reject the risk or to determine the rates, terms and conditions if the risk is accepted

Explanation:

According to the principle of utmost good faith, the proposer is obliged to declare all relevant facts that are material to the assessment of the risk, at the time of making the proposal.

A fact is said to be material, if it affects the decision of the underwriter to accept or reject the risk or to determine rates, terms and conditions if the risk is accepted. That is, if the 'fact' is relevant to the assessment of the risk and determination of the premium.

- Q 36. Tara Hotels has taken insurance with Gemini Insurance Company for their restaurant premises. As Mr. Lakhan, the owner, is very cautious person, he insures the same restaurant premises with another insurance company named Starlet Ltd. Unfortunately, after six months due to a fire in the kitchen, the restaurant burns to the ground. Which of the following statements is correct referring to the above situation?
- ☐ According to the principle of indemnity Mr. Lakhan can place a claim with only Gemini Insurance company
 - ☐ According to the concept of sharing, Mr. Lakhan can place a claim with both the insurance companies.
 - ☐ According to principle of indemnity, Mr. Lakhan can place a claim with either one of the two insurance companies
 - ☐ According to the principle of indemnity Mr. Lakhan can place a claim with only Starlet Ltd.
 - ☐ According to the law of large numbers, Mr. Lakhan cannot place a claim with either of the insurance companies

☒ UnAttempted

CORRECT ANSWER:

According to the concept of sharing, Mr. Lakhan can place a claim with both the insurance companies.

Explanation:

If there are two policies on the same subject matter, the principle of contribution requires that both the insurance companies pay their proportionate share of the claim and the insured does not make a profit by making a claim to both the companies.

- Q 37. What is a single policy, covering multiple people in a group insurance, called?
- ☐ Master policy
 - ☐ Cover policy
 - ☐ Group policy
 - ☐ Multiple policy
 - ☐ Singular policy

☒ UnAttempted

CORRECT ANSWER:

Master policy

Explanation:

Group policies offer benefits to large number of persons through one policy. This single policy covering multiple people is known as the Master Policy. It is issued in favour of the person representing the group of beneficiaries.

Q 38. Which of the following options are offered by the life assurance companies to the policyholders to pay the premium?

- ☐ Yearly by cheque
- ☐ Monthly by cash
- ☐ Half-yearly by credit-card
- ☐ As a single premium through electronic clearing service (ECS)
- ☐ Monthly, quarterly, half yearly or as a single premium and payment by way of cash, cheque, electronic clearing service (ECS)

☒ UnAttempted

CORRECT ANSWER:

Monthly, quarterly, half yearly or as a single premium and payment by way of cash, cheque, electronic clearing service (ECS)

Explanation:

Life insurance companies offer the policyholder the option to pay the premium monthly, quarterly, half yearly, yearly or as a single premium.

The policyholder can pay the premium by cash, cheque, electronic clearing service (ECS) or credit card.

Q 39. Identify the correct statement from the following, with regards to a Free-Look-Period?

- ☐ Discontinuing an existing policy and taking a new one for free
- ☐ Choosing between two plans, one of which has considerably less premium or commission than the other
- ☐ A prospective customer is allowed to look freely at the policy document within seven days and read it in depth
- ☐ If a policy holder is not satisfied with the product, he or she can opt to return it to the insurance company within 15 days
- ☐ Making a full and adequate disclosure of all the facts to allow the customers to make informed decisions

☒ UnAttempted

CORRECT ANSWER:

If a policy holder is not satisfied with the product, he or she can opt to return it to the insurance company within 15 days

Explanation:

IRDA has prescribed a free look period of 15 days for life, general insurance and health policies. As per this stipulation, if a policy holder is not satisfied with the product, he / she can opt to return the same to the insurance company within a period of 15 days from the date of receipt of the document.

A refund of premium will be made to the insured after deduction of mortality charges for the risk cover during the freelook period, medical examination expenses (if incurred by the insurer) and stamp duty charges.

Q 40. Analyse the following statement and state whether it is True or False. "A husband can take life assurance cover, but not health insurance cover for his wife and vice versa."

- ☐ True: A husband can take life assurance cover, but not health insurance cover for his wife and vice versa
- ☐ False: A husband can take health insurance cover, but not life assurance cover for his wife and not the other way round
- ☐ False: A husband can take life assurance cover and/or health insurance cover for his wife and vice versa
- ☐ False: A wife can take life assurance cover, but not health insurance cover for her husband and not the other way round
- ☐ False: A husband can take life assurance cover but not health insurance cover for his wife and not the other way round.

☒ UnAttempted

CORRECT ANSWER:

False: A husband can take life assurance cover and/or health insurance cover for his wife and vice versa

Explanation:

A husband has insurable interest in the life of his wife and similarly, the wife has insurable interest in the life of the husband. Both benefit from the well-being of each other and if something goes wrong with any one of them it affects the other adversely.

So, the husband can take life insurance cover and / or health insurance cover for his wife and vice versa.

Q 41. The Insurance Contract is described as:

- ☐ The insurance company agrees to pay to the policy holder, a certain sum of money, if the insured event does not occur, provided premiums have been paid
- ☐ The insurance company agrees to pay to the policy holder a certain sum of money, if the insured event occurs, provided at least 50% premiums have been paid
- ☐ The policy holder agrees to pay to the insurance company a certain sum of money if the insured event occurs provided premiums have been paid
- ☐ The insurance company agrees to pay to the policy holder a certain sum of money if the insured event occurs, provided the policyholder have been paying the premiums
- ☐ The insurance company agrees to pay to the policy holder, a certain sum of money if the insured event occurs, provided at least 75% premiums have been paid

☒ UnAttempted

CORRECT ANSWER:

The insurance company agrees to pay to the policy holder a certain sum of money if the insured event occurs, provided the policyholder have been paying the premiums

Explanation:

Insurance is a contract between two parties:

- a) the insurance company; and
- b) the policyholder.

According to the insurance contract:

- the insurance company agrees to pay the policyholder a certain sum of money (sum assured);
- if the event (death or peril e.g. fire, earthquake etc.) specified in the insurance contract happens;
- provided the policyholder has been paying the premium(s) as specified in the insurance contract.

Q 42. Which section of the Insurance Laws (Amendment) Act 2015 specifies the persons/entities included as "Intermediary" or "Insurance-intermediary"?

- ☐ Section 2(b)
- ☐ Section 3(a)
- ☐ Section 2(a)
- ☐ Section 2(f)
- ☐ Section 3(f)

☒ UnAttempted

CORRECT ANSWER:

Section 2(b)

Explanation:

The section of the Insurance Laws (Amendment) Act 2015 that defines the term "Intermediary" or "Insurance-intermediary" is Section 2(b).

Q 43. Identify whether the following statement is True or False: "The tenure of the insurance policy may be as little as a few hours.".

- ☐ False; Tenure of an insurance policy is minimum 30 days
- ☐ False; Tenure of an Insurance policy is minimum 14 days
- ☐ False; Tenure of an insurance –policy is minimum seven days
- ☐ False; Tenure of an insurance –policy is minimum one day
- ☐ True; Tenure of an insurance policy may be as little as a few hours

☒ UnAttempted

CORRECT ANSWER:

True; Tenure of an insurance policy may be as little as a few hours

Explanation:

The tenure of the policy or period of insurance: This is called the term and may be as little as a few hours (e.g. travel insurance for air travel from one city to another) or as much as a year for non-life insurance products, or many years for a life insurance policy.

Q 44. By profession, Mohit is an engineer working as a production manager but he also works as a pizza delivery man after his regular job. He wants to insure against death or disablement arising out of accidents of any kind, including those caused external, violent and visible means. Referring to the above scenario, which of the following insurance policies should Mohit opt for?

- ☐ Health Insurance
- ☐ Motor Insurance
- ☐ Engineering Insurance
- ☐ Overseas medical insurance
- ☐ Personal accident insurance

☒ UnAttempted

CORRECT ANSWER:

Personal accident insurance

Explanation:

Personal Accident policies cover death or disablement arising out of accidents of any kind (caused by external, violent and visible means).

In the case of personal accident policies, there is no need for assessment of risk, except on the factor of occupation. The conditions are standard. The policy can also cover consequential costs medical care and loss of income due to disability leading to absence from workplace.

Q 45. Which of the following are rare products bought by Individuals in the Indian Market?

- ☐ Health and Motor
- ☐ Health and Building
- ☐ Building and Contents
- ☐ Health and Personal Accident
- ☐ Personal Accident and Motor

☒ UnAttempted

CORRECT ANSWER:

Building and Contents

Explanation:

The major products bought by individuals include:

- **Personal Accident, Motor: Third Party Cover** is a compulsory insurance in most countries
- **Health:** This will vary from hospitalisation treatment costs to full medical reimbursement
- **Building and Contents:** not so common in India yet, compared to other parts of the world, but fast catching up

- Q 46. While comparing between CTL and ATL in the following example, identify the correct option: Mr. Narang's car (Value Rs.210000) fell into a river which could not be lifted out. The sum insured was Rs.200000. The cost of pulling the car from the lake and bringing to garage for repairs was Rs.300000. The insurance company offered Rs. 200000/- as Actual Total Loss.
- ☐ Actual Total Loss (ATL) was Rs. 300,000
 - ☐ CTL is Rs. 300,000 and ATL is Rs. 210,000
 - ☐ ATL was Rs. 210,000 and CTL was Rs. 100,000
 - ☐ ATL and CTL was Rs. 210000
 - ☐ Construction Total Loss (CTL) was Rs. 100000

☒ UnAttempted

CORRECT ANSWER:

ATL was Rs. 210,000 and CTL was Rs. 100,000

Explanation:

When a loss occurs, it can be either partial or total. There are two types of total losses.

- **Actual total loss** is where the subject matter of insurance is destroyed beyond repair. The insured is irretrievably deprived of the subject matter.
- **Constructive total loss** occurs when the actual loss appears inevitable or the prevention of the actual loss would require expenditure that would exceed the saved value of goods. Constructive loss is common in marine insurance, including air cargo. It may also occur in fire and motor policies where the cost of repair exceeds the value of the subject matter.

- Q 47. _____ policy caters to the medical needs of a family.

- ☐ Group Policy
- ☐ Individual Floater
- ☐ Family Floater
- ☐ Personal Family
- ☐ Group Floater

☒ UnAttempted

CORRECT ANSWER:

Family Floater

Explanation:

Family Floater Policy: This type of health insurance policy caters to the medical needs of a family. In family floater policies, normally insurance companies allow coverage for up to two adults and two children in a family.

The sum insured can be shared by the family members covered in the policy. There are no fixed proportions in which the sum insured is shared by the family members.

- Q 48. Fill in the blanks with the correct options: The policyholder, who transfers the rights and liabilities, is known as the _____ and the person to whom they were assigned is known as the _____.

- ☐ Insurer; Insured
- ☐ Assignee; Assignor
- ☐ Insured; Insurer
- ☐ Assignor; Assignee
- ☐ Nominee; Nominor

☒ UnAttempted

CORRECT ANSWER:

Assignor; Assignee

Explanation:

An assignment is the transfer of rights and liabilities of the policyholder to someone else. The policyholder who transfers the rights and liabilities is known as the assignor, and the person to whom they were assigned is known as the assignee.

- Q 49. What is the fixed commission structure with regards to remuneration of insurance agents?

- ☐ It is certain percentage of the profit paid by the insured
- ☐ It is certain percentage of commission paid by the insurer
- ☐ It is certain percentage of the salary paid by the insured
- ☐ It is certain percentage of the premium paid by the insured
- ☐ It is certain percentage of the professional charges paid by the insured

☒ UnAttempted

CORRECT ANSWER:

It is certain percentage of the premium paid by the insured

Explanation:

Agents are remunerated by way of commissions, which are regulated by IRDA. Most of the products have a fixed commission structure which is a certain percentage of the premium paid by the insured. Initially the commission for life insurance business is high, but keeps getting lower in the subsequent years.

For general insurance business, the contract is usually for a period of twelve months and the commission rate varies with the kind of business.

Q 50. Excess of loss treaties are set at a different limit, that come into effect, in which of the following circumstances?

- ☐ The loss is less than the limit for the primary insurer and the first re-insurer
- ☐ The profit is less than the limit for the primary insurer and the first re-insurer
- ☐ The loss is equal to the limit for the primary insurer and the first re-insurer
- ☐ The loss is in excess of the limit for the primary insurer and the first re-insurer
- ☐ The profit is in excess of the limit for the primary insurer and the first re-insurer

☒ UnAttempted

CORRECT ANSWER:

The loss is in excess of the limit for the primary insurer and the first re-insurer

Explanation:

Excess of loss is an arrangement wherein the reinsurer steps in only if there is a loss that exceeds the specified limit.

Insurance companies may have several excess of loss treaties with second and third reinsures set at different limits that come into effect when the loss is in excess of the limit for the primary insurer and the first reinsurer.

These are called "first", "second" etc. excess of loss.

Q 51. Read the given statement carefully and identify whether it is True or False. "If a peril strikes, the actual loss can range from nothing (zero) to total loss of subject matter of insurance."

- ☐ False; if a peril strikes the actual loss is the total loss of subject matter of insurance
- ☐ False; if a peril strikes the actual loss is 72% of the total loss of the subject matter of insurance
- ☐ False; if a peril strikes the actual loss is 42% of the total loss of the subject matter of insurance
- ☐ True; if a peril strikes, the actual loss can range from nothing (zero) to total loss of the subject matter of insurance
- ☐ False; if a peril strikes, the actual loss is 20% of the total loss of the subject matter of insurance

☒ UnAttempted

CORRECT ANSWER:

True; if a peril strikes, the actual loss can range from nothing (zero) to total loss of the subject matter of insurance

Explanation:

The purpose of risk management is to identify and eliminate, or at least reduce risks.

Risks are possibilities, not certainties and are measured by the loss that may happen if a peril strikes. The actual loss can range from nothing (zero) to total loss of the subject matter of insurance. The actual loss will include the costs of:

- a) repair, replacement or reinstatement
- b) the consequential losses until repair, replacement or reinstatement

Q 52. Insurance is a contract between which of the two parties?

- ☐ The IRDAI; and the government
- ☐ The IRDAI; and the policy holder
- ☐ The Government and the policy holder
- ☐ The Insurance Company; and the IRDAI
- ☐ The Insurance Company, and the policy holder

☒ UnAttempted

CORRECT ANSWER:

The Insurance Company, and the policy holder

Explanation:

Insurance is a contract between two parties:

- a) the insurance company; and
- b) the policyholder.

Q 53. A Third-Party Administrator (TPA) is a specialised health service provider rendering various services related to health insurance. Which of the following services are provided by a TPA?

- ☐ Claim Processing
- ☐ Claim Settlement
- ☐ Networking with hospitals
- ☐ All of the above
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

All of the above

Explanation:

A Third-Party Administrator (TPA) is a specialised health service provider rendering various services related to health insurance. These services include networking with hospitals, claim processing and settlement.

Both the insured as well as the insurer benefit from the services of the TPA. Insured persons benefit with cashless hospitalization and cashless settlement with the help of TPAs. Insurers benefit by reduction in their costs as TPAs are supposed to negotiate with hospitals for reasonable treatment rates.

Q 54. How does insurance make the process fair and equitable for all?

- ☐ Insurance does not make the process, fair and equitable to all
- ☐ Insurance spreads the profits of few individuals, over a group of companies, who are Exposed to a Similar Risk; thus making the Process, Fair and Equitable for all
- ☐ Insurance spreads the losses of a few individuals, over a group of individuals, who are exposed to a similar risk; thus, making the process, fair and equitable for all
- ☐ Insurance spreads the Profits of a Few Individuals, over a Group of Individuals, who are Exposed to Dis-Similar Risks; thus, making the Process, Fair and Equitable for all
- ☐ Insurance Spreads the Profits of a Few Individuals, over a Group of Individuals, who are Exposed to a Similar Risks; thus, making the Process, Fair and Equitable for All

☒ UnAttempted

CORRECT ANSWER:

Insurance spreads the losses of a few individuals, over a group of individuals, who are exposed to a similar risk; thus, making the process, fair and equitable for all

Explanation:

Insurance allows for risk to be shared. Insurance companies are intermediaries in the process, just like banks play the role of intermediaries between those who have money to spare and those who need it.

Insurance spreads the losses of individuals over a group of individuals who are exposed to similar risk, thus making the process fair and equitable for all. The potential for any of the individuals to be compensated for a loss is similar across all individuals.

Q 55. What do brokers generally handle?

- ☐ Small Businesses
- ☐ Big Businesses
- ☐ IRDAI Business
- ☐ Overseas Business
- ☐ Government Business

☒ UnAttempted

CORRECT ANSWER:

Big Businesses

Explanation:

A insurance broker is an individual, a company, a society or a firm, wholly engaged in sourcing insurance business for various insurance companies.

Brokers generally handle big businesses and advice customers on the best insurance arrangements. They may also negotiate with insurers to obtain the best insurance terms for their clients.

Q 56. Which fund invests a major portion of the money in a mix of equity and debt instruments?

- ☐ Debt
- ☐ Equity
- ☐ Growth
- ☐ Money-Market
- ☐ Balanced

☒ UnAttempted

CORRECT ANSWER:

Balanced

Explanation:

Balanced fund invests a major portion of the money in a mix of equity and debt instruments.

Q 57. Ms. Kavita has applied for a unit-linked insurance plan (ULIP) for herself. She is a care free woman and is willing to take high risks but she expects high returns as well. Which type of basic fund Ms. Kavita should invest in?

- ☐ Gilt Fund
- ☐ Debt Fund
- ☐ Equity Fund
- ☐ Balanced Fund
- ☐ Money Market Fund

☒ UnAttempted

CORRECT ANSWER:

Equity Fund

Explanation:

Equity fund is for those investors who are willing to take high risk and are looking for high returns.

Q 58. Which of the following statements is INCORRECT, with respect to Proximate Cause?

- ☐ The concept of proximate-cause is used to determine, whether the cause of loss is an insured-peril or an excluded peril
- ☐ When there is a series of events that lead to a loss and if all the events are insured-perils then there is no need to identify the proximate-cause
- ☐ An event is said to be the proximate-cause, if it affects the decision of the underwriter, to accept or reject the risks, or to determine the rates, terms and conditions, if the risks is accepted
- ☐ The dominant, effective, operative cause of an event, is known as proximate- cause
- ☐ Proximate-Cause is an active and efficient cause, that sets-in-motion, a chain of events, which brings about a result, without the intervention of any force, started and working actively from a new and in-dependent source

☒ UnAttempted

CORRECT ANSWER:

An event is said to be the proximate-cause, if it affects the decision of the underwriter, to accept or reject the risks, or to determine the rates, terms and conditions, if the risks is accepted

Explanation:

Proximate cause is defined as the active and efficient cause that sets in motion a chain of events which brings about a result, without the intervention of any force started and working actively from a new and independent source. The dominant, effective or operative cause of an event is known as the proximate cause.

When there is a series of events that lead to a loss, and if all the events are insured perils, then there is no need to identify the proximate cause as all the events are insured perils and the claim would anyway be paid by the insurance company.

The concept of proximate cause is used to determine whether the cause of loss is an insured peril or an excluded peril. Identifying the proximate cause is not easy at all and making a judgement on the basis of that is equally difficult.

Q 59. By law, Indian insurers have an obligation to provide insurance benefits to which of the following?

- ☐ The employees of insurance company and their families
- ☐ The citizens of the Andaman and Nicobar Islands
- ☐ The employees of the government and the public sector
- ☐ The police force and the defense forces such as the army, navy and air forces
- ☐ Low income-earners of the weaker sections of the society and the un-organised sector

☒ UnAttempted

CORRECT ANSWER:

Low income-earners of the weaker sections of the society and the un-organised sector

Explanation:

Insurers have an obligation by law to provide insurance benefits to low-income earners of the weaker sections of the society and the unorganised sector.

Life insurance, pension products and annuities for people who live long make it possible for them to live comfortably without being a burden on the Government for allowances and medical costs. This reduces the Government's costs.

Q 60. There is no current _____ for the insurance customer; it is imaginary at the time of purchase.

- ☐ Comfort
- ☐ Queries
- ☐ Account
- ☐ Discomfort
- ☐ Accommodation

☒ UnAttempted

CORRECT ANSWER:

Discomfort

Explanation:

The customer has to visualise the possibility of a tragedy before they seek insurance.

There is no current discomfort for the insurance customer; it is imaginary at the time of purchase, and it is the insurance salesperson's job to create those unpleasant images for the customer.

Q 61. General insurance contributes to the continuation of trade by _____.

- ☐ setting the strict limits on payment of premiums
- ☐ ensuring a proper flow of income in the economy
- ☐ fulfilling the obligations at the claim time which in turn can prevent the business from going broke
- ☐ by enabling the traders to register for the special offers
- ☐ by setting the strict limits on the claims, that can be availed

☒ UnAttempted

CORRECT ANSWER:

fulfilling the obligations at the claim time which in turn can prevent the business from going broke

Explanation:

General insurance contributes to the continuation of trade by fulfilling obligations at claim time which in turn can prevent businesses from going broke. Insurers work with loss prevention agencies in ports, docks and cargo depots by providing information on causes of losses.

Q 62. What is the combined figure of loss-ratio plus expense-ratio which reflects the over-all underwriting-profitability is known as?

- ☐ Combined Ratio
- ☐ Underwriting-Ratio
- ☐ Profit-Ratio
- ☐ Incurred Claims Ratio
- ☐ Incurred-Liability Ratio

☒ UnAttempted

CORRECT ANSWER:

Combined Ratio

Explanation:

The combined figure of loss ratio plus expense ratio is called the combined ratio and this figure reflects the overall underwriting profitability.

Q 63. Identify from the following, the risk which is not covered by Marine Cargo Insurance.

- ☐ Goods-in-Transit by Sea
- ☐ Goods-in-Transit by Post
- ☐ Goods-in-Transit by Rail
- ☐ Goods-in-Transit by Air
- ☐ Loss or Damage to Ocean-Going Ships

☒ UnAttempted

CORRECT ANSWER:

Loss or Damage to Ocean-Going Ships

Explanation:

Marine Cargo Insurance provides cover for goods in transit by sea, air, rail, road or by post. Export/ import shipments are covered against the risk of fire or explosion, stranding of vessel, theft, pilferage, loss of package during loading and unloading etc.

Marine Hull insurance covers loss or damage to ocean going ships and other vessels such as fishing vessels, sailing vessels etc.

Q 64. In _____ types of policies the claimant may not be the policy-holder.

- ☐ Fire Insurance
- ☐ Life Insurance
- ☐ Personal Accident
- ☐ Marine Insurance
- ☐ Liability Insurance

☒ UnAttempted

CORRECT ANSWER:

Life Insurance

Explanation:

In the case of life insurance, the customer who buys the policy may not be the same customer who is making a claim on the policy. The real value of life insurance is experienced at the time of claim.

Q 65. In insurance, in some cases, even the potential _____ are also compensated for.

- ☐ Future Losses
- ☐ Current losses
- ☐ Future profits
- ☐ Past losses
- ☐ Current profits

☒ UnAttempted

CORRECT ANSWER:

Future Losses

Explanation:

In some cases, the potential future losses are also compensated for.

Q 66. Which certificates are issued for motor policies to provide evidence that the Motor Vehicles Act has been complied with?

- ☐ Claim certificates
- ☐ Premium certificates
- ☐ Motor Vehicle Certificates
- ☐ Certificate of Insurance
- ☐ Certificate of Underwriting

☒ UnAttempted

CORRECT ANSWER:

Certificate of Insurance

Explanation:

Certificates of Insurance are issued for motor policies to provide evidence that the Motor Vehicles Act has been complied with.

The Certificate of Insurance must be kept in the vehicle and produced when required by authorities.

Q 67. Which of the following option is INCORRECT with regards to the given statement: Customers are happy when _____.

- ☐ They feel cared for and helped
- ☐ They are being empathised with
- ☐ They are recognised and respected
- ☐ They or their feeling and views are not ignored
- ☐ They feel like they are being taken advantages of

☒ UnAttempted

CORRECT ANSWER:

They feel like they are being taken advantages of

Explanation:

Customers are happy when:

- they are recognised and respected
- they or their feelings and views are not ignored
- they do not feel like they are being taken advantage of
- they feel cared for and helped
- they are being empathised with

Q 68. Fill in the blanks with correct option from the following: 'Death is certain, but its _____ is uncertain.'

- ☐ loss
- ☐ extent
- ☐ timing
- ☐ impact
- ☐ consequence

☒ UnAttempted

CORRECT ANSWER:

timing

Explanation:

A human life is an income generating asset. But this asset can be lost through unexpected, early death or made non-functional through illnesses or disabilities caused by accidents. Death is certain, but its timing is uncertain.

If death occurs very early in the career, insurance contributes to help those dependent on this asset.

- Q 69. Which of the following statements is correct regarding application of indemnity in the case of liability insurance?
- ☐ Liability policies indemnify the insured in respect of damages, awarded by the law for personal injuries or damage to property of third-parties.
 - ☐ In repairable Losses, the cost of repair is paid, subject to depreciation on cost of new goods
 - ☐ In liability policies, machinery loss is indemnified by paying the cost of similar machinery adding depreciation charge for loss of machinery.
 - ☐ In liability policies, if the goods are completely damaged, insured declared value (I.D.V) is paid after adding the value of the salvage
 - ☐ Liability policies are issued, where the declared value represents the manufacture's production price of the ship

☒ UnAttempted

CORRECT ANSWER:

Liability policies indemnify the insured in respect of damages, awarded by the law for personal injuries or damage to property of third-parties.

Explanation:

Liability policies (motor third party, public liability, products liability etc.) indemnify the insured in respect of damages awarded by law for personal injuries or damage to property of third parties.

- Q 70. The abbreviation P.A.C. stands for _____.
- ☐ Policy Appropriation Charge
 - ☐ Premium Allocation Charge
 - ☐ Premium Appropriation Charge
 - ☐ Policy Allocation Charge
 - ☐ None of these

☒ UnAttempted

CORRECT ANSWER:

Policy Allocation Charge

Explanation:

A portion of the premium goes towards meeting the expenses of issuing a policy like agent's commission, policy set up costs, administrative costs and statutory levies.

This amount is also known as 'Policy Allocation Charge (PAC)'.

- Q 71. What is the purpose of servicing activities in the insurance industry?
- ☐ Servicing activities encourage customers to leave things to fate
 - ☐ Servicing activities help defer the customer decision to buy insurance
 - ☐ Servicing activities involve understanding the customer mindset
 - ☐ Servicing activities ensure immediate customer satisfaction upon paying premiums
 - ☐ Servicing activities aim to retain customers and make sure that the customer is not attracted to another insurance company

☒ UnAttempted

CORRECT ANSWER:

Servicing activities aim to retain customers and make sure that the customer is not attracted to another insurance company

Explanation:

The role of intermediaries is to keep the customers satisfied. Agents and brokers also are responsible to make sure that the customer is satisfied, when policies are taken. They should do so while the policies are in force, not just when a claim arises. These are considered servicing activities.

Servicing activities make sure that the customer is not attracted to another insurance company. Servicing activities are more important in life insurance due to the amount of time the policy runs for.

- Q 72. Aarti and Tarun are civil partners living together since past 8 years and together have a 5 years old daughter. If Aarti wants to buy insurance for Tarun, state whether she can do so.
- ☐ Yes, because they have been living together for more than five years and thus are deemed by law to have an insurance interest in each other
 - ☐ Yes, because they have a child together and thus, are deemed by law to have an insurable interest in each other
 - ☐ No, because their child is not above 12 years of age, and thus are deemed by law to not have an insurable interest in each other.
 - ☐ No, because they do not have any legal relationship as they are not legally married and thus are deemed to not have insurable interest in each other.
 - ☐ No, because they have not been living together for more than five years and thus, are deemed by law to not have an insurance interest in each other.

☒ UnAttempted

CORRECT ANSWER:

Yes, because they have a child together and thus, are deemed by law to have an insurable interest in each other

Explanation:

A person is said to have an 'insurable interest' when they stand to gain or benefit from the continued existence (safety) and well-being of the person or property insured, and would suffer a financial loss if there is damage to the person or property.

Insurable interest is the legal right of the person to insure the subject matter with which they have a legal relationship recognised by law. Aarti and Tarun are civil partners, which establishes a legal relationship. They have a child together, which further strengthens their insurable interest in each other.

Therefore, Aarti can indeed buy insurance for Tarun based on their shared insurable interest.

- Q 73. Which of the following have established the circumstances in which insurance interest is deemed to exist?
- ☐ Corporate Laws
 - ☐ Court Judgments
 - ☐ The Insurance Rules
 - ☐ The Insurance Act, 1938
 - ☐ The Insurance Regulatory and Development Authority

☒ UnAttempted

CORRECT ANSWER:

Court Judgments

Explanation:

The Insurance Act, 1938 does not define insurable interest. Court judgements have established the circumstances in which insurable interest is deemed to exist.

Q 74. N.F.H.S. is the abbreviation of _____.

- ☐ National Family Health Survey
- ☐ National Family Health Society
- ☐ National Financial & Health Survey
- ☐ National Financial & Health Society
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

National Family Health Survey

Explanation:

N.F.H.S is the abbreviation of National Family Health Survey.

The NFHS is a large-scale, multi-round survey conducted in a representative sample of households throughout India.

Q 75. What is the difference between health insurance and life insurance, based on basic types of policies under each insurance branch?

- ☐ Health insurance includes policies such as Employees Compensation Policies and Liability Insurance Policy; whereas Life Assurance includes policies such as whole-life assurance plan and money-back assurance plan.
- ☐ Health-Insurance includes policies such as Individual Policies, family-floater policies, and group policies, whereas life assurance includes policies such as term assurance plans and pure endowment assurance plan
- ☐ Health Insurance includes policies such as Term Assurance Plans and Pure Endowment Assurance Plans; whereas Life Assurance includes policies such as Whole-Life-Assurance plans and Money-Back Assurance Plan
- ☐ Health Insurance includes policies such as Individual Policies and Family-Floater Policies, whereas Life Assurance includes policies such as Term assurance Plans and Pure Endowment Assurance Plan
- ☐ Health Insurance includes policies such as Individual Policies, Family-Floater Policies, and Group Policies; whereas Life Assurance includes policies such as Whole Life Assurance Plans and Money-Back, Assurance Plan

☒ UnAttempted

CORRECT ANSWER:

Health-Insurance includes policies such as Individual Policies, family-floater policies, and group policies, whereas life assurance includes policies such as term assurance plans and pure endowment assurance plan

Q 76. As required by law, the funds to be held in reserve are determined after providing for the _____.

- ☐ Taxes
- ☐ Dividend
- ☐ Bad debts
- ☐ Solvency margins
- ☐ Administrative expenses

☒ UnAttempted

CORRECT ANSWER:

Solvency margins

Explanation:

The costs (liabilities) are calculated according to the principles relating to the valuation of liabilities under insurance policies. The funds to be held in reserve are determined after providing for the solvency margins as required by law.

Any profit available for distribution as dividends to shareholders or as bonus to policyholders, is determined after these provisions have been made.

Q 77. Which of the following Principles are Corollaries to the Principle of Indemnity?

- ☐ Principle of Liability; Principle of Contribution
- ☐ Principle of Liability; Principle of Subrogation
- ☐ Principle of Contribution; Principle of Liability
- ☐ Principle of Valuation; Principle of Subrogation
- ☐ Principle of Subrogation; Principle of Contribution

☒ UnAttempted

CORRECT ANSWER:

Principle of Subrogation; Principle of Contribution

Explanation:

There are two principles which are corollaries to the principle of indemnity. They are Principle of Subrogation and Principle of Contribution.

Q 78. Read the following statement and state if it is True of False: "According to Motor Vehicles Act, every vehicle plying on the Indian roads should be insured for liability to third-parties including property-damage"

- ☐ False: As per Motor Vehicles Act, only private-vehicles plying on Indian roads should be insured, for liability to third-parties including property-damage
- ☐ True: As per Motor Vehicles Act, every vehicle plying on Indian roads should be insured, for liability to third-parties including property-damage
- ☐ False: As per Motor Vehicles Act, only public-vehicles plying on Indian roads should be insured for liability to third-parties excluding property-damage
- ☐ False: According to insurance regulatory and development authority of India (I.R.D.A.I.) every vehicle, plying on Indian roads, should be insured, for liability to third-parties including property-damage
- ☐ False: As per Motor Vehicles Act, only private-vehicles plying on Indian roads, should be insured, for liability to third-parties excluding property-damage

☒ UnAttempted

CORRECT ANSWER:

True: As per Motor Vehicles Act, every vehicle plying on Indian roads should be insured, for liability to third-parties including property-damage

Explanation:

Motor insurance deals with insurance of motorised vehicles on road, whether used for private comfort or public service, whether carrying passengers or goods.

As per Motor Vehicles Act, every vehicle plying on Indian roads should be insured for Liability to Third Parties including property damage.

Q 79. Choose the correct option: Reinsurance brokers act as _____ and find a re-insurer willing to accept the risk.

- ☐ Brokers
- ☐ Intermediaries
- ☐ Subsidiaries
- ☐ Underwriters
- ☐ Reinsurers

☒ UnAttempted

CORRECT ANSWER:

Intermediaries

Explanation:

Reinsurance is not a simple business; it is complex and can be arranged in numerous ways. One of which is:

- Reinsurance brokers act as intermediaries and find a reinsurer willing to accept the risk.

Q 80. Which of the following option is not a peril?

- ☐ Fire
- ☐ Flood
- ☐ Faith
- ☐ Earthquake
- ☐ Lightening

☒ UnAttempted

CORRECT ANSWER:

Faith

Explanation:

Life is very uncertain. Any person can meet with death due to some unfortunate or unexpected event at any point of time. Assets are also likely to be destroyed or made non-functional due to accidental occurrences before the expected life time.

Hence, assets need to be insured. Peril is the cause of loss. Anything that causes the loss is a peril. Example: fire, flood, earthquake, lightning, landslide etc. An event or incident that may cause a loss is called a peril.

Q 81. Fill in the blanks with correct options from below: Collection and transfer of premium to insurers, when so authorized by the insurers, with only Reserve Bank of India (RBI) licenced payment gateway is a function of a _____ towards the _____.

- ☐ Insurer; RBI
- ☐ RBI; insurer
- ☐ RBI; web aggregator
- ☐ Web aggregator; insurer
- ☐ Insurer; web aggregator

☒ UnAttempted

CORRECT ANSWER:

Web aggregator; insurer

Explanation:

The function of collecting and transferring premiums to insurers, when authorized by the insurers, using only a Reserve Bank of India (RBI) licensed payment gateway, falls under the purview of a web aggregator towards the insurer.

Q 82. Complete the following statement with correct option: Under Marine Insurance, the Premium paid by each member is _____.

- ☐ equal to the risk, he or she is exposed to
- ☐ greater than the risk, he or she is exposed to
- ☐ less than the risk he or she is exposed to
- ☐ proportionate to the risk, he or she is exposed to
- ☐ disproportionate the risk, he or she is exposed to

☒ UnAttempted

CORRECT ANSWER:

proportionate to the risk, he or she is exposed to

Explanation:

Instead of the people from the group coming together on their own, the insurance company acts as an intermediary and brings them together. The members who are exposed to the same risk contribute money to a pool, which is maintained by the insurance company. Each member's contribution is known as a 'premium'.

When any member suffers a loss, the insurance company pays compensation from this common pool. In this way the risk is spread among the members of the group and the probable big impact on one is reduced to smaller, manageable impacts on all. The larger the number of members in the group, the easier it is to share the risk.

The premium paid by each member is proportionate to the risk he is exposed to.

Q 83. The commission rate _____ with the kind of business, for general insurance business.

- ☐ Varies
- ☐ Identifies
- ☐ Decreases
- ☐ Increases
- ☐ Remains constant

☒ UnAttempted

CORRECT ANSWER:

Varies

Explanation:

For general insurance business, the contract is usually for a period of twelve months and the commission rate varies with the kind of business.

Q 84. The first written insurance policy was _____.

- ☐ found in the Vedas
- ☐ on a temple wall in south India
- ☐ on a papyrus found in Harappa
- ☐ on Babylonian obelisk monument
- ☐ on clay tablets found in Sumerian

☒ UnAttempted

CORRECT ANSWER:

on Babylonian obelisk monument

Explanation:

The first written insurance policy was on a Babylonian obelisk monument with the code of King Hammurabi. The Hammurabi Code was one of the first forms of written laws. The basic insurance gave the Babylonian traders protection against loss of cargo.

Q 85. Which of the following options is INCORRECT with regards to perils in fire insurance policies?

- ☐ Perils relating to war-risks are excluded
- ☐ Exclusions of perils are mentioned separately under the relevant section
- ☐ Fire Insurance policies are 'Named Peril Policies', where the perils are listed
- ☐ Perils such as impact of vehicles, riots, typhoons, cyclones, strike cannot be included
- ☐ Add-on cover which are additional perils offered by the insurers may be opted for separately

☒ UnAttempted

CORRECT ANSWER:

Perils such as impact of vehicles, riots, typhoons, cyclones, strike cannot be included

Explanation:

Fire insurance policies provide cover for financial losses due to damage to property arising out of fire, explosions etc.

Fire policies may also cover damage through impact of vehicles, riots, typhoons, cyclones, strike or other malicious acts etc.

Q 86. Dynamic risks are those risks which _____.

- ☐ are less damaging
- ☐ are more damaging
- ☐ are resulting from changes in the economy
- ☐ can be measured or quantified in monetary terms
- ☐ cannot be measured or quantified in monetary terms

☒ UnAttempted

CORRECT ANSWER:

are resulting from changes in the economy

Explanation:

Dynamic risks are those resulting from changes in the economy. Changes in the price level, consumer tastes, fashions, income and output, technology, political upheavals or Government suddenly losing vote of confidence may cause financial loss to the members of the economy.

- Q 87. Is the given statement True with respect to e-insurance accounts? "The e-insurance account holder will have an option to shift from one insurance repository to the other and all the policy details and transaction history would then be transferred to the new insurance repository."
- ☐ True; The e-insurance account has the option to shift from one insurance repository to the other, only if there are no existing policies in force at that time
 - ☐ False; The e-insurance account holder does not have an option to shift from one insurance repository to the other
 - ☐ True; the e-insurance account holder has the option to shift from one insurance repository to the other and all the policy details and transactions history would then be transferred to the new insurance repository.
 - ☐ True; The e-insurance account holder has the option to shift from one insurance repository to the other, however all the policy details and transaction history would become invalid
 - ☐ True; The e-insurance account holder has the option to shift from one insurance repository to the other however all the policy details and transaction history would have to be resubmitted to the new insurance repository.

☒ UnAttempted

CORRECT ANSWER:

True; the e-insurance account holder has the option to shift from one insurance repository to the other and all the policy details and transactions history would then be transferred to the new insurance repository.

Explanation:

An e-insurance account holder has the option to shift from one insurance repository to another.

When this transfer occurs, all policy details and transaction history associated with the account are transferred to the new insurance repository

- Q 88. The Insurance Regulatory and Development Authority of India (I.R.D.A.I) made provisions for an intermediary to handle the solicitation and marketing of insurance products that require minimal underwriting and intervention. This intermediary can be easily trained and examined to a lesser degree. Who is this intermediary?
- ☐ Surveyor
 - ☐ Broker
 - ☐ Web Aggregator
 - ☐ Point of Sale Persons
 - ☐ Insurance marketing firm

☒ UnAttempted

CORRECT ANSWER:

Point of Sale Persons

Explanation:

Point of Sales Person (POSP)

The I.R.D.A.I has observed that there are number of persons who are involved in undertaking simple and routine activities pertaining to solicitation and marketing of insurance policies. For e.g. bulk of products in motor insurance, travel insurance, personal accident insurance, etc. require very little underwriting.

These happen to be largely pre-underwritten products wherein based on the information provided by the prospect, the insurance policy is automatically generated by the system. The intervention required for such a product is minimal and the training and examination for such persons could be of a lesser degree.

- Q 89. Which of the following statement is INCORRECT with respect to cashless treatment?
- ☐ Third party administrators (TPA) tie up with hospitals across country and include them in their network for cashless facilities
 - ☐ If the insured get admitted to a non-network hospital, then there will be no cashless facility, they have to pay the hospital bill and claim the amount from the insurance company on a reimbursement basis
 - ☐ Insurance companies issue cash-less cards to the insured which does not require them to pay for treatment of allowed costs when admitted to one of the network hospitals
 - ☐ Insurance companies issue cash-less cards to the insured, which does not require them to pay without any condition for treatment at any of the government hospitals
 - ☐ All of the above options are correct

☒ UnAttempted

CORRECT ANSWER:

Insurance companies issue cash-less cards to the insured, which does not require them to pay without any condition for treatment at any of the government hospitals

Explanation:

Health insurance covers treatment costs which require hospitalisation (including domiciliary treatment). Health insurance claims are now being serviced by a network of Third-Party Administrators (TPA) who have been licensed by IRDA.

TPAs tie up with hospitals across the country and include them in their network. Insurance companies issue cashless cards to the insured which does not require them to pay for treatment (allowed costs) when admitted to one of the networks hospitals. If the insured gets admitted to a non-network hospital, then they have to pay the hospital bill and claim the amount from the insurance company on a reimbursement basis.

- Q 90. In most cases, there is _____, when customers make purchases especially when purchasing tangible goods.
- ☐ Delayed sense of panic
 - ☐ Immediate sense of panic
 - ☐ Delayed sense of satisfaction
 - ☐ Delayed sense of gratification
 - ☐ Immediate sense of gratification

☒ UnAttempted

CORRECT ANSWER:

Immediate sense of gratification

Explanation:

When customers make purchases, especially when purchasing tangible goods, there is, in most cases an immediate sense of gratification or satisfaction from that purchase.

- Q 91. Insurance can be defined as a co-operative arrangement to spread the _____ caused by a particular _____ over a large number of people who are exposed to it, in exchange for a small sum of money.
- ☐ Loss; Risk
 - ☐ Gain; Risk
 - ☐ Profit; Gain
 - ☐ Risk; Gain
 - ☐ Risk; Loss

☒ UnAttempted

CORRECT ANSWER:

Loss; Risk

Explanation:

Insurance can also be defined as a co-operative arrangement to spread the loss caused by a particular risk over a large number of people who are exposed to it, in exchange for a small sum of money.

Q 92. What is the one advantage and one disadvantage associated with the retention of risk, from the following options?

- ☐ There is a Financial Incentive to Control the Loss; There are No Disputes with Insurers, in the Event of a claim
- ☐ Any Catastrophic may have an Adverse effect on the Financial Position; Multiple Small Claims can have the effect of One Major or Catastrophic Claim
- ☐ Cost are not affected by the Adverse Claims Experience of Others; There is a Financial Incentive to Control the Loss
- ☐ Costs are not affected by the Adverse Claims Experience of others; Multiple small claims can have the effect of One Major or Catastrophic Claim
- ☐ Costs are not affected by the Adverse Claims Experience of others; There are no Disputes with Insurers in the Event of a claim

☒ UnAttempted

CORRECT ANSWER:

Costs are not affected by the Adverse Claims Experience of others; Multiple small claims can have the effect of One Major or Catastrophic Claim

Explanation:

There are advantages and disadvantages associated with retention of risk. These are explained below;

Advantages

1. The cost may be less as administrative and commission costs of the insurer do not need to be paid for.
2. Costs are not affected by the adverse claims experience of others.
3. There are no disputes with insurers in the event of a claim
4. There is a financial incentive to control loss

Disadvantages

1. Any catastrophic incident may have an adverse effect on the financial position.
2. Multiple small claims can have the effect of one major or catastrophic claim
3. The money set aside to cover such losses is capital that cannot be used elsewhere.

Q 93. Read the following statement carefully and identify if it is True or False: "The duty of disclosure of material facts is on the insurance company as well as on the policy-holder."

- ☐ False: The Duty of Disclosure of Material Facts is only on the insurance intermediary and the insurance marketing firm, with regards to Material facts about the policy holder that may affect the Decision of the Underwriter to Accept or Reject the Risks or to Determine the Rates, Terms and Condition.
- ☐ True: The duty of disclosure of material facts is on the insurance company, with regards to benefits-available and obligations under various policies as well as on the policy-holder with regards to material facts that may affect the decision of the underwriter to accept or reject the risk, or to determine the rates, terms and condition
- ☐ False: The Duty of Disclosure of Material Facts is only on the policy-Holder with regards to Material facts that may affect the Decision of the Underwriter to Accept or Reject the Risk, or to Determine the Rates, Terms and Condition
- ☐ False: The Duty of Disclosure of Material Facts is only on the insurance intermediary, with regards to Material facts about the policy holder that may affect the Decision of the Underwriter to Accept or Reject the Risk, or to Determine the Rates, Terms and Condition
- ☐ False: The Duty of Disclosure of Material Facts is only on the Insurance Company, with regards to Benefits-Available and Obligations under Various Policies

☒ UnAttempted

CORRECT ANSWER:

True: The duty of disclosure of material facts is on the insurance company, with regards to benefits-available and obligations under various policies as well as on the policy-holder with regards to material facts that may affect the decision of the underwriter to accept or reject the risk, or to determine the rates, terms and condition

Explanation:

The duty of disclosure of material facts is on the insurance company also as much as it is on the policyholder. Policyholders are not aware of benefits available and obligations under various policies.

Q 94. Which of the following option spelt out by the Insurance Regulatory and Development Authority of India (I.R.D.A.I.), in the various regulations, is directed towards 'Ethical Behaviour'?

- ☐ Code of Ethics
- ☐ Ethics Governance
- ☐ Customer Service Code
- ☐ Public Interest Litigation (P.I.L.)
- ☐ Third-Party Administration Laws

☒ UnAttempted

CORRECT ANSWER:

Code of Ethics

Explanation:

The code of ethics spelt out by the IRDA in the various regulations is directed towards ethical behaviour. It is important to know every clause in the code of conduct to ensure there is no violation of the code.

Q 95. Read the following statement carefully and state whether it is True or False. "It is important that the assumptions made when determining the premiums are regularly reviewed to ensure that the assumptions are still valid and the premium is appropriate."

- ☐ False, there are no Assumptions made, when determining the premiums
- ☐ False, the Assumptions made when determining the premiums need not be Regularly Reviewed to ensure that the Assumptions are still valid and the premium is Appropriate
- ☐ False, there are no guidelines to review the Assumptions made when determining the premium.
- ☐ False, Assumptions made when determining the premiums should not be changed in any circumstances
- ☐ True, it is important that, the assumptions made when determining the premiums are regularly reviewed to ensure that the assumptions are still valid and the premium is appropriate

☒ UnAttempted

CORRECT ANSWER:

True, it is important that, the assumptions made when determining the premiums are regularly reviewed to ensure that the assumptions are still valid and the premium is appropriate

Explanation:

It is important that the assumptions made when determining the premiums are regularly reviewed to ensure that the assumptions are still valid and the premium is appropriate.

Q 96. What is the term used when the life-assured transfers their existing investments from one fund to another during the tenure of the policy?

- ☐ Switching
- ☐ Revising
- ☐ Transferring
- ☐ Re-Direction
- ☐ Re-routing

☒ UnAttempted

CORRECT ANSWER:

Switching

Explanation:

The life insured can transfer their existing investments from one fund to another during the tenure of the policy. This process is known as 'Switching'.

Q 97. Last year Ms. Tania bought a small car in the month of May 2019; for which she had bought an insurance. As she wanted a bigger car, she sold this car in the month of January 2021. Her old car had met with a bad road-accident and was completely destroyed, for which Ms. Tania filed a claim. Is this claim valid? Give reasons.

- ☐ No; because she made the claim after six months of buying the policy
- ☐ Yes; because she made the claim within two months of buying the policy
- ☐ No; because the person, who has taken insurance for a property cannot make a claim against damage to the property, after they have sold the property
- ☐ Yes; because an insurance claim can be made at any time of the loss or destruction of the asset, that is insured without any conditions
- ☐ Yes; because the person who has taken insurance for a property, can make a claim against damage of the property even after they have sold the property

☒ UnAttempted

CORRECT ANSWER:

No; because the person, who has taken insurance for a property cannot make a claim against damage to the property, after they have sold the property

Explanation:

In the case of property insurance, insurable interest has to be proved at the time of taking insurance and also at the time of making a claim. A person who is going to acquire a property cannot take insurance for the property until they become the legal owner of that property.

Also, a person who has taken insurance for a property cannot make a claim against damage to the property after they have sold the property because they are no longer the legal owner of the property even though they had bought insurance for the property when they were the owner of that property.

Q 98. Why do insurance companies have individuals qualified in various disciplines and technologies on their panels?

- ☐ Insurance companies have persons qualified in various disciplines and technologies on their panels so that their services can be called upon, to assess the loss and recommend the extent of claim payable in a particular case.
- ☐ Insurance companies have persons qualified in various disciplines and technologies on their panels so that their services can be called upon, to advise the client on the various policies available and help them to choose a policy suitable for them.
- ☐ Insurance companies have persons qualified in various disciplines and technologies on their panels so that their services can be called upon, to counsel the client to deal with the loss and file the claim.
- ☐ Insurance companies have persons qualified in various disciplines and technologies on their panels so that their services can be called upon to advise the claims manager on how to calculate the claim payable in a particular case.
- ☐ Insurance companies have persons qualified in various disciplines and technologies on their panels so that their service can be called upon to advise the insurance company to design new and innovative policies.

☒ UnAttempted

CORRECT ANSWER:

Insurance companies have persons qualified in various disciplines and technologies on their panels so that their services can be called upon, to assess the loss and recommend the extent of claim payable in a particular case.

Explanation:

Non-life insurance covers a variety of risks. Many of them, due to their complicated nature, can be appraised only by technically competent persons. Insurers may not have technically competent persons in their offices for this. So, they have, in their panel, persons qualified in various disciplines and technologies, whose services can be called upon to assess the loss and recommend the extent of claim payable in a particular case.

These panellists will be specialists from the fields of finance, automobiles, shipping, engineering, oil drilling, metallurgy and other fields that insurance companies deal with.

Q 99. Which of the following risks is not covered by Fidelity Guarantee?

- ☐ Risks related to dishonesty
- ☐ Risks related to embezzlement
- ☐ Risks related to fraud
- ☐ Risks related to loss of cash and securities
- ☐ Compensation that is to be paid by the employee, for death

☒ UnAttempted

CORRECT ANSWER:

Compensation that is to be paid by the employee, for death

Explanation:

Fidelity Guarantee covers risks related to dishonesty, fraud and embezzlement by employees etc. and protects employers from loss of cash and securities.

Q 100. Which are the types of funds offered by an ULIP ?

- ☐ Debt
- ☐ Equity
- ☐ Balanced
- ☐ All of the above
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

All of the above

Explanation:

'Enhancer', 'Dynamic Fund', 'Multiplier' etc are different names of funds offered by insurance companies in ULIPs under combination of basic funds like Equity, Debt, Money Market, Balanced etc.